

## AP Memory Technology Corp

Second foundry qualification done; key player in silicon capacitor; OW

We once again increase our estimates and reiterate our positive view on AP Memory (APM). First, we believe that silicon capacitor is a new market for many suppliers and should benefit all the qualified value chain players. We also believe that APM has an early mover advantage versus its peers as the company should be into the production stage in 2026, which is 2-3 quarters ahead of potential competitors. Second, the company has recently qualified another foundry partner, UMC (2303.TW, Neutral, covered by Gokul Hariharan) for its interposer. Thus, we believe PSMC (6770.TW) will focus on IPD products while UMC could focus on interposers from 2H27. The share price, in our view, is yet to reflect the positives. This could be a positive catalyst if the Street realizes that APM has secured more capacity from its foundry suppliers.

- **IPD update.** We now model IPD sales to reach NT\$7.7bn in 2027 and NT\$15bn in 2028, vs our previous assumptions of NT\$3.5bn in 2027 and NT\$10.2bn in 2028. Our sales projections still have a lot of discount vs. the capacity of APM's foundry partner to build 10,000 wafers/month in 2027. We applied these discounts because we are not certain of the production yield rate of APM's foundry supplier and the commitment of the foundry supplier.
- **Interposer update.** Currently, PSMC is the single supplier of the APM interposer with around 2,000 to 4,000 wafers per month. However, given the supply tightness, our checks indicate that APM will move all the interposers to UMC with potentially 10,000 wafers per month in the next 12-18 months.
- **What is the blue-sky case?** Though this is yet to confirm, our checks suggest that APM has asked for 10,000 wafers per month from PSMC and UMC each by 4Q27. If both can be delivered without major production problems, the sales upside could be another NT\$10bn-15bn to our current estimate of NT\$27bn in 2028.
- **2Q26 preview.** Reported 2Q26 sales of NT\$2.36bn (+12.4% QoQ; +77.6% YoY) are 7% ahead of our estimate, driven mainly by interposer and partially by IoT BU, in our view. We project GM at ~45%, vs 46% in 1Q26, due to the product mix, as the interposer has a lower margin ratio. Our estimated 2Q26 EPS is NT\$3.5 (vs NT\$4.2 in 1Q26 and negative NT\$3.4 one year ago), as we model lower non-operating income vs 1Q26.
- **3Q 26 outlook.** We project 3Q26 sales of NT\$2.4bn, which is similar vs 2Q26. Sequential growth should be mild, due to the capacity adjustment by APM's foundry supplier, PSMC (mentioned in its latest earnings call; [link](#)).
- **Implications.** We keep our 2026E EPS largely unchanged at NT\$15, but raise our 2027E/28E EPS by 9%/17% to NT\$27/NT\$45 to factor in the positive reasons above. Our new Dec-27 PT of NT\$1,350 (up vs. our previous Dec-27 PT of NT\$1,150) is still based on a 30x 2028E P/E (in line with APM's historical average P/E). We think the target multiple can be justified by the upcoming catalysts (e.g., WoW, interposer and IPD) for the company in the next few years. Key risks include the IPD production yield rate depending on its advanced packaging partner.

## Overweight

6531.TW, 6531 TT

Price (07 Jul 26): NT\$895.00

▲ Price Target (Dec-27): NT\$1,350.00

Prior (Dec-27): NT\$1,150.00

### Technology

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### Key Changes (FYE Dec)

|                       | Prev  | Cur   | Δ    |
|-----------------------|-------|-------|------|
| Adj. EPS - 26E (NT\$) | 15.26 | 15.36 | 0.6% |
| Adj. EPS - 27E (NT\$) | 24.40 | 26.64 | 9.2% |

### Quarterly Forecasts (FYE Dec)

| Adj. EPS (NT\$) | 2025A  | 2026E | 2027E |
|-----------------|--------|-------|-------|
| Q1              | 2.04   | 4.15A | 3.79  |
| Q2              | (3.36) | 3.48  | 4.90  |
| Q3              | 4.34   | 3.60  | 7.88  |
| Q4              | 4.71   | 4.12  | 10.07 |
| FY              | 7.74   | 15.36 | 26.64 |

### Style Exposure

| Quant    | Current | Hist %Rank (1=Top) |    |    |     |
|----------|---------|--------------------|----|----|-----|
| Factors  | %Rank   | 6M                 | 1Y | 3Y | 5Y  |
| Value    | 92      | 88                 | 75 | 91 | 78  |
| Growth   | 21      | 78                 | 62 | 7  | 100 |
| Momentum | 24      | 42                 | 83 | 31 | 9   |
| Quality  | 68      | 78                 | 79 | 31 | 6   |
| Low Vol  | 81      | 73                 | 70 | 93 | 100 |

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 8 for analyst certification and important disclosures, including non-US analyst disclosures.

## Price Performance



|     | YTD   | 1m     | 3m    | 12m    |
|-----|-------|--------|-------|--------|
| Abs | 99.8% | -11.4% | 89.8% | 217.4% |
| Rel | 42.8% | -12.3% | 53.0% | 114.6% |

## Company Data

|                             |                 |
|-----------------------------|-----------------|
| Shares O/S (mn)             | 149             |
| 52-week range (NT\$)        | 1,305.00-273.00 |
| Market cap (\$ mn)          | 4,174           |
| Exchange rate               | 32.04           |
| Free float (%)              | 80.5%           |
| 3M ADV (mn)                 | 6.75            |
| 3M ADV (\$ mn)              | 192.5           |
| Volatility (90 Day)         | 90              |
| Index                       | TAIEX           |
| BBG ANR (Buy   Hold   Sell) | 5 1 0           |

## Key Metrics (FYE Dec)

| NT\$ in millions           | FY25A   | FY26E | FY27E  | FY28E  |
|----------------------------|---------|-------|--------|--------|
| <b>Financial Estimates</b> |         |       |        |        |
| Revenue                    | 5,666   | 9,544 | 17,970 | 27,690 |
| Adj. EBIT                  | 1,399   | 2,624 | 4,994  | 8,612  |
| Adj. EBITDA                | 1,493   | 2,727 | 5,098  | 8,728  |
| Adj. net income            | 1,258   | 2,501 | 4,338  | 7,339  |
| Adj. EPS                   | 7.74    | 15.36 | 26.64  | 45.07  |
| BBG EPS                    | 5.78    | 18.07 | 28.07  | 49.58  |
| Cashflow from operations   | 2,461   | 3,179 | 3,717  | 7,425  |
| FCFF                       | 2,415   | 3,124 | 3,677  | 7,385  |
| <b>Margins and Growth</b>  |         |       |        |        |
| Revenue Growth Y/Y (%)     | 35.2%   | 68.4% | 88.3%  | 54.1%  |
| EBIT margin                | 24.7%   | 27.5% | 27.8%  | 31.1%  |
| EBIT Growth Y/Y (%)        | 31.6%   | 87.5% | 90.4%  | 72.4%  |
| EBITDA margin              | 26.4%   | 28.6% | 28.4%  | 31.5%  |
| EBITDA Growth Y/Y (%)      | 29.5%   | 82.6% | 87.0%  | 71.2%  |
| Net margin                 | 22.2%   | 26.2% | 24.1%  | 26.5%  |
| Adj. EPS growth            | (20.5%) | 98.5% | 73.4%  | 69.2%  |
| <b>Ratios</b>              |         |       |        |        |
| Adj. tax rate              | 18.3%   | 20.0% | 20.0%  | 20.0%  |
| Interest cover             | NM      | NM    | NM     | NM     |
| Net debt/Equity            | NM      | NM    | NM     | NM     |
| Net debt/EBITDA            | NM      | NM    | NM     | NM     |
| ROE                        | 10.4%   | 20.0% | 31.6%  | 44.6%  |
| <b>Valuation</b>           |         |       |        |        |
| FCFF yield                 | 1.7%    | 2.1%  | 2.5%   | 5.1%   |
| Dividend yield             | 0.8%    | 1.6%  | 2.7%   | 4.6%   |
| EV/Revenue                 | 6.7     | 3.9   | 1.9    | 1.1    |
| EV/EBITDA                  | 25.3    | 13.6  | 6.9    | 3.6    |
| Adj. P/E                   | 115.7   | 58.3  | 33.6   | 19.9   |

## Summary Investment Thesis and Valuation

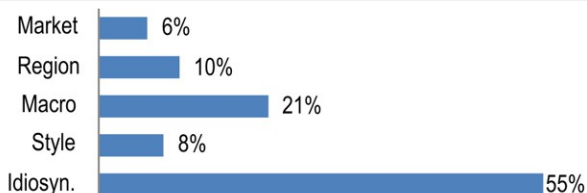
### Investment Thesis

We remain constructive on APM's mid- to long-term growth, with solid progress in project/customer wins for the IPD (capacitor embedded in substrate), AI/HPC, interposer and IoT BUs and more contribution from projects entering mass production within the next two to three years. Stay OW.

### Valuation

Our Dec-27 PT of NT\$1,350 is based on a 30x 2028E P/E, in line with the stock's historical average P/E.

## Performance Drivers



| Factors                      | 6M Corr | 1Y Corr |
|------------------------------|---------|---------|
| Market: MSCI Asia Pac ex JP  | 0.31    | 0.24    |
| Region: Taiwan               | 0.34    | 0.33    |
| <b>Macro:</b>                |         |         |
| JP Morgan GBI-EM Global Div  | -0.27   | -0.35   |
| JPM EM Currency(EMCI) Fixing | -0.17   | -0.27   |
| JPM China A-shares Sentiment | 0.44    | 0.23    |
| <b>Quant Styles:</b>         |         |         |
| DivYld                       | -0.34   | -0.30   |
| Growth                       | 0.36    | 0.28    |
| Value                        | -0.23   | -0.23   |

## Estimate revisions

Table 1: J.P. Morgan estimate revisions – New vs. old

| (NT\$M)           | Revised      |              |              |              | Prior        |              |              |              | Change         |               |                 |                 |
|-------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|----------------|---------------|-----------------|-----------------|
|                   | 2Q26E        | 2026E        | 2027E        | 2028E        | 2Q26E        | 2026E        | 2027E        | 2028E        | 2Q26E          | 2026E         | 2027E           | 2028E           |
| Sales             | 2,364        | 9,544        | 17,970       | 27,690       | 2,200        | 9,430        | 14,470       | 21,890       | 7%             | 1%            | 24%             | 26%             |
| Gross profit      | 1,065        | 4,305        | 7,260        | 11,488       | 989          | 4,214        | 6,149        | 9,408        | 8%             | 2%            | 18%             | 22%             |
| <b>GM</b>         | <b>45.1%</b> | <b>45.1%</b> | <b>40.4%</b> | <b>41.5%</b> | <b>44.9%</b> | <b>44.7%</b> | <b>42.5%</b> | <b>43.0%</b> | <b>12 bps</b>  | <b>42 bps</b> | <b>-209 bps</b> | <b>-149 bps</b> |
| Operating profit  | 640          | 2,624        | 4,994        | 8,612        | 571          | 2,549        | 4,236        | 7,074        | 12%            | 3%            | 18%             | 22%             |
| <b>OPM</b>        | <b>27.1%</b> | <b>27.5%</b> | <b>27.8%</b> | <b>31.1%</b> | <b>25.9%</b> | <b>27.0%</b> | <b>29.3%</b> | <b>32.3%</b> | <b>112 bps</b> | <b>46 bps</b> | <b>-148 bps</b> | <b>-122 bps</b> |
| Net Income        | 567          | 2,501        | 4,338        | 7,339        | 511          | 2,484        | 3,971        | 6,253        | 11%            | 1%            | 9%              | 17%             |
| <b>EPS (NT\$)</b> | <b>3.5</b>   | <b>15.4</b>  | <b>26.6</b>  | <b>45.1</b>  | <b>3.1</b>   | <b>15.3</b>  | <b>24.4</b>  | <b>38.4</b>  | <b>11%</b>     | <b>1%</b>     | <b>9%</b>       | <b>17%</b>      |

Source: J.P. Morgan estimates.

Table 2: J.P. Morgan estimates vs. Bloomberg consensus

| (NT\$M)           | JPMe         |              |              |              | Bloomberg    |              |              |              | Diff            |                 |                 |                 |
|-------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|-----------------|-----------------|-----------------|-----------------|
|                   | 2Q26E        | 2026E        | 2027E        | 2028E        | 2Q26E        | 2026E        | 2027E        | 2028E        | 2Q26E           | 2026E           | 2027E           | 2028E           |
| Sales             | 2,364        | 9,544        | 17,970       | 27,690       | 2,371        | 9,817        | 14,739       | 26,184       | 0%              | -3%             | 22%             | 6%              |
| Gross profit      | 1,065        | 4,305        | 7,260        | 11,488       | 1,077        | 4,467        | 6,721        | 11,254       | -1%             | -4%             | 8%              | 2%              |
| <b>GM</b>         | <b>45.1%</b> | <b>45.1%</b> | <b>40.4%</b> | <b>41.5%</b> | <b>45.4%</b> | <b>45.5%</b> | <b>45.6%</b> | <b>43.0%</b> | <b>-36 bps</b>  | <b>-39 bps</b>  | <b>-520 bps</b> | <b>-149 bps</b> |
| Operating profit  | 640          | 2,624        | 4,994        | 8,612        | 676          | 2,860        | 4,870        | 9,371        | -5%             | -8%             | 3%              | -8%             |
| <b>OPM</b>        | <b>27.1%</b> | <b>27.5%</b> | <b>27.8%</b> | <b>31.1%</b> | <b>28.5%</b> | <b>29.1%</b> | <b>33.0%</b> | <b>35.8%</b> | <b>-147 bps</b> | <b>-164 bps</b> | <b>-525 bps</b> | <b>-469 bps</b> |
| Net Income        | 567          | 2,501        | 4,338        | 7,339        | 695          | 2,931        | 4,569        | 8,071        | -18%            | -15%            | -5%             | -9%             |
| <b>EPS (NT\$)</b> | <b>3.5</b>   | <b>15.4</b>  | <b>26.6</b>  | <b>45.1</b>  | <b>4.2</b>   | <b>18.1</b>  | <b>28.1</b>  | <b>49.6</b>  | <b>-17%</b>     | <b>-15%</b>     | <b>-5%</b>      | <b>-9%</b>      |

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

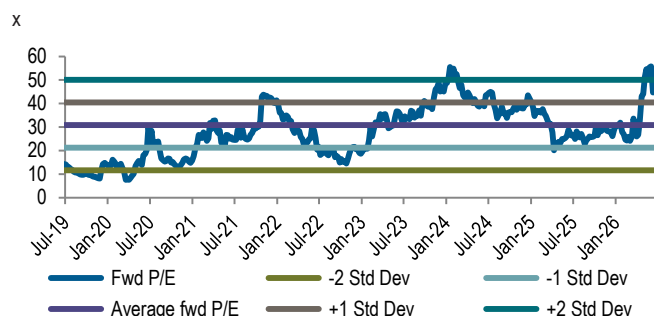
## Valuation summary

Table 3: Trading multiples from July 2020 to date

|                    | 12M trailing P/E (x) | 12M fwd P/E (x) | 12M trailing P/B (x) | 12M fwd P/B (x) |
|--------------------|----------------------|-----------------|----------------------|-----------------|
| Standard Deviation | 23.3                 | 9.6             | 4.1                  | 2.0             |
| Max                | 163.5                | 55.7            | 18.4                 | 13.3            |
| Minimum            | 11.1                 | 12.8            | 2.2                  | 2.0             |
| Median             | 36.1                 | 29.4            | 5.4                  | 5.0             |
| Average            | 42.5                 | 30.9            | 7.2                  | 5.4             |

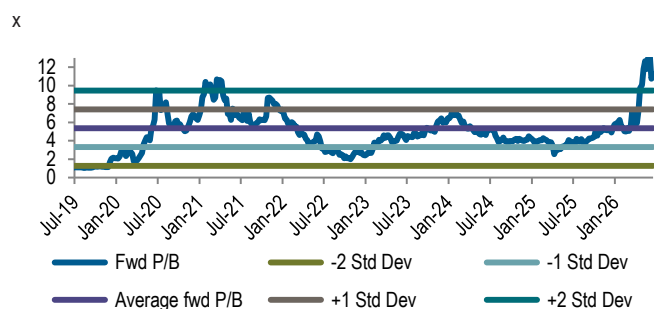
Source: Bloomberg Finance L.P., J.P. Morgan estimates. Note: We exclude the impact of two non-recurring one-time events (1Q19: compensation for PSRAM defect; 4Q20 gain from disposal of Zentel Japan) in the valuation data.

Figure 1: 12M fwd P/E with SD



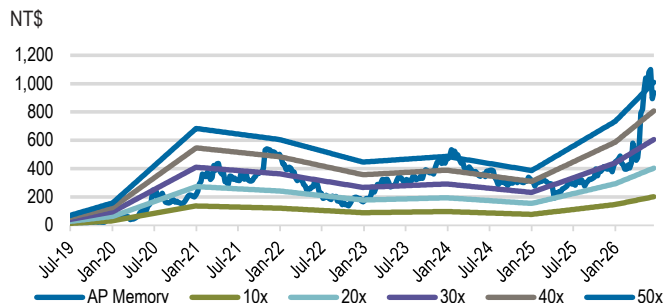
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 3: 12M fwd P/BV with SD



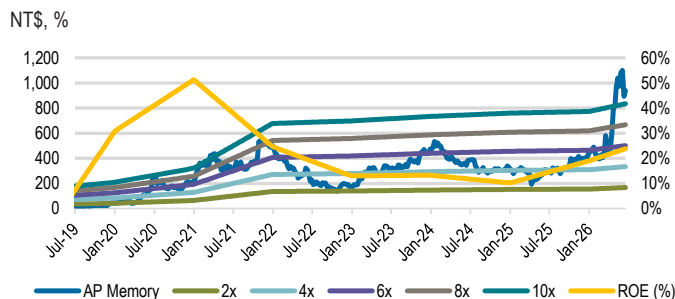
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 2: 12M fwd P/E bands



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 4: 12M fwd P/BV bands



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Table 4: Quarterly estimates

|                                 | 2024  |       |       |       | 2025  |        |       |       | 2026E |        |       |       | 2027E |       |       |       | 2028E |       |       |       |       |       |       |       |        |        |
|---------------------------------|-------|-------|-------|-------|-------|--------|-------|-------|-------|--------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|--------|--------|
| (NT\$ in Mn, year-end December) | 1Q    | 2Q    | 3Q    | 4Q    | 1Q    | 2Q     | 3Q    | 4Q    | 1Q    | 2Q     | 3Q    | 4Q    | 1Q    | 2Q    | 3Q    | 4Q    | 1Q    | 2Q    | 3Q    | 4Q    | 2023  | 2024  | 2025  | 2026E | 2027E  | 2028E  |
| <b>Revenue</b>                  | 748   | 945   | 1,274 | 1,225 | 975   | 1,329  | 1,495 | 1,868 | 2,100 | 2,364  | 2,400 | 2,680 | 2,480 | 3,790 | 5,400 | 6,300 | 5,720 | 6,420 | 7,450 | 8,100 | 4,227 | 4,192 | 5,666 | 9,544 | 17,970 | 27,690 |
| D&A                             | 23    | 23    | 22    | 22    | 22    | 23     | 25    | 24    | 25    | 25     | 27    | 27    | 25    | 26    | 26    | 27    | 28    | 29    | 29    | 30    | 81    | 90    | 94    | 103   | 104    | 116    |
| COGS                            | 403   | 460   | 611   | 573   | 522   | 767    | 807   | 937   | 1,130 | 1,299  | 1,328 | 1,482 | 1,426 | 2,330 | 3,267 | 3,688 | 3,336 | 3,756 | 4,362 | 4,748 | 2,472 | 2,047 | 3,033 | 5,238 | 10,711 | 16,202 |
| <b>Gross profit</b>             | 345   | 485   | 663   | 652   | 453   | 561    | 688   | 932   | 970   | 1,065  | 1,073 | 1,198 | 1,054 | 1,461 | 2,133 | 2,612 | 2,384 | 2,664 | 3,088 | 3,352 | 1,755 | 2,146 | 2,634 | 4,305 | 7,260  | 11,488 |
| Operating expense               | 239   | 257   | 282   | 304   | 278   | 291    | 307   | 359   | 382   | 426    | 427   | 448   | 414   | 569   | 621   | 662   | 601   | 674   | 767   | 834   | 902   | 1,082 | 1,234 | 1,682 | 2,265  | 2,876  |
| <b>Operating income</b>         | 106   | 228   | 381   | 348   | 175   | 271    | 381   | 572   | 588   | 640    | 645   | 750   | 640   | 892   | 1,512 | 1,951 | 1,783 | 1,990 | 2,321 | 2,518 | 853   | 1,063 | 1,399 | 2,624 | 4,994  | 8,612  |
| Net Interest Income             | 102   | 105   | 101   | 99    | 92    | 81     | 85    | 89    | 90    | 87     | 82    | 84    | 89    | 93    | 78    | 88    | 101   | 112   | 96    | 110   | 366   | 407   | 346   | 343   | 348    | 419    |
| Net Other Income                | 262   | 108   | -75   | 267   | 168   | -1,036 | 394   | 248   | 147   | 0      | 24    | 27    | 25    | 38    | 54    | 63    | 57    | 64    | 75    | 81    | 401   | 563   | -227  | 198   | 180    | 277    |
| Pre-tax profit                  | 469   | 442   | 407   | 714   | 435   | -685   | 860   | 909   | 826   | 726    | 752   | 861   | 754   | 1,023 | 1,644 | 2,101 | 1,941 | 2,166 | 2,491 | 2,709 | 1,619 | 2,033 | 1,518 | 3,164 | 5,522  | 9,308  |
| Tax expense (credit)            | 101   | 72    | 70    | 212   | 89    | -135   | 166   | 159   | 166   | 145    | 150   | 172   | 151   | 205   | 329   | 420   | 388   | 433   | 498   | 542   | 174   | 455   | 279   | 633   | 1,104  | 1,862  |
| <b>Net profit reported</b>      | 368   | 370   | 337   | 502   | 332   | -546   | 706   | 766   | 676   | 567    | 586   | 672   | 618   | 798   | 1,283 | 1,640 | 1,591 | 1,690 | 1,944 | 2,114 | 1,445 | 1,578 | 1,258 | 2,501 | 4,338  | 7,339  |
| <b>EPS (NT\$)</b>               | 2.3   | 2.3   | 2.1   | 3.1   | 2.0   | -3.4   | 4.3   | 4.7   | 4.2   | 3.5    | 3.6   | 4.1   | 3.8   | 4.9   | 7.9   | 10.1  | 9.8   | 10.4  | 11.9  | 13.0  | 8.9   | 9.7   | 7.7   | 15.4  | 26.6   | 45.1   |
| <b>Margins (%)</b>              |       |       |       |       |       |        |       |       |       |        |       |       |       |       |       |       |       |       |       |       |       |       |       |       |        |        |
| Gross Margin                    | 46.1  | 51.4  | 52.1  | 53.2  | 46.5  | 42.2   | 46.0  | 49.9  | 46.2  | 45.1   | 44.7  | 44.7  | 42.5  | 38.5  | 39.5  | 41.5  | 41.7  | 41.5  | 41.4  | 41.4  | 41.5  | 51.2  | 46.5  | 45.1  | 40.4   | 41.5   |
| - OPEX ratio                    | 31.9  | 27.2  | 22.2  | 24.8  | 28.5  | 21.9   | 20.5  | 19.2  | 18.2  | 18.0   | 17.8  | 16.7  | 16.7  | 15.0  | 11.5  | 10.5  | 10.5  | 10.5  | 10.3  | 10.3  | 21.3  | 25.8  | 21.8  | 17.6  | 12.6   | 10.4   |
| Operating Margin                | 14.1  | 24.1  | 29.9  | 28.4  | 18.0  | 20.4   | 25.5  | 30.6  | 28.0  | 27.1   | 26.9  | 28.0  | 25.8  | 23.5  | 28.0  | 31.0  | 31.2  | 31.0  | 31.1  | 31.1  | 20.2  | 25.4  | 24.7  | 27.5  | 27.8   | 31.1   |
| EBITDA Margin                   | 17.2  | 26.5  | 31.7  | 30.3  | 20.3  | 22.1   | 27.2  | 31.9  | 29.2  | 28.1   | 28.0  | 29.0  | 26.8  | 24.2  | 28.5  | 31.4  | 31.7  | 31.4  | 31.5  | 31.5  | 22.1  | 27.5  | 26.4  | 28.6  | 28.4   | 31.5   |
| Net Margin                      | 49.3  | 39.2  | 26.4  | 41.0  | 34.0  | -41.1  | 47.3  | 41.0  | 32.2  | 24.0   | 24.4  | 25.1  | 24.9  | 21.1  | 23.8  | 26.0  | 27.8  | 26.3  | 26.1  | 26.1  | 34.2  | 37.6  | 22.2  | 26.2  | 24.1   | 26.5   |
| <b>Sequential Growth (%)</b>    |       |       |       |       |       |        |       |       |       |        |       |       |       |       |       |       |       |       |       |       |       |       |       |       |        |        |
| Revenue                         | -35.7 | 26.3  | 34.9  | -3.8  | -20.4 | 36.3   | 12.5  | 25.0  | 12.4  | 12.6   | 1.5   | 11.7  | -7.5  | 52.8  | 42.5  | 16.7  | -9.2  | 12.2  | 16.0  | 8.7   |       |       |       |       |        |        |
| Gross Profit                    | -32.3 | 40.8  | 36.7  | -1.7  | -30.5 | 23.9   | 22.5  | 35.5  | 4.1   | 9.8    | 0.7   | 11.7  | -12.0 | 38.6  | 46.0  | 22.5  | -8.7  | 11.7  | 15.9  | 8.5   |       |       |       |       |        |        |
| EBIT                            | -62.7 | 116.0 | 67.0  | -8.6  | -49.7 | 54.6   | 40.7  | 50.2  | 2.8   | 8.7    | 0.9   | 16.3  | -14.7 | 39.4  | 69.5  | 29.0  | -8.6  | 11.6  | 16.6  | 8.5   |       |       |       |       |        |        |
| EPS                             | -0.6  | 0.5   | -9.0  | 49.1  | -34.0 | n.m.   | n.m.  | 8.4   | -11.8 | -16.2  | 3.5   | 14.5  | -8.0  | 29.2  | 60.7  | 27.8  | -3.0  | 6.2   | 15.0  | 8.8   |       |       |       |       |        |        |
| <b>YoY Growth (%)</b>           |       |       |       |       |       |        |       |       |       |        |       |       |       |       |       |       |       |       |       |       |       |       |       |       |        |        |
| Revenue                         | 2.8   | -13.9 | 2.8   | 5.4   | 30.4  | 40.6   | 17.3  | 52.5  | 115.4 | 77.9   | 60.6  | 43.5  | 18.1  | 60.3  | 125.0 | 135.1 | 130.6 | 69.4  | 38.0  | 28.6  | -17.0 | -0.8  | 35.2  | 68.4  | 88.3   | 54.1   |
| Gross Profit                    | 18.1  | 9.8   | 29.5  | 28.2  | 31.5  | 15.7   | 3.7   | 42.8  | 114.0 | 89.7   | 56.0  | 28.6  | 8.7   | 37.1  | 98.9  | 118.0 | 126.2 | 82.4  | 44.8  | 28.3  | -21.0 | 22.3  | 22.7  | 63.5  | 68.6   | 58.2   |
| EBIT                            | 3.1   | 10.6  | 46.2  | 22.8  | 65.7  | 18.7   | 0.0   | 64.3  | 236.0 | 136.2  | 69.3  | 31.1  | 8.8   | 39.5  | 134.3 | 159.9 | 178.7 | 123.1 | 53.5  | 29.1  | -43.2 | 24.7  | 31.6  | 87.5  | 90.4   | 72.4   |
| EPS                             | 488.5 | -23.4 | -36.5 | 35.4  | -10.1 | -247.1 | 109.1 | 52.0  | 103.3 | -203.6 | -17.1 | -12.4 | -8.7  | 40.8  | 118.7 | 144.1 | 157.6 | 111.8 | 51.5  | 28.9  | -26.3 | 9.0   | -20.5 | 98.5  | 73.4   | 69.2   |
| <b>Sales mix (%)</b>            |       |       |       |       |       |        |       |       |       |        |       |       |       |       |       |       |       |       |       |       |       |       |       |       |        |        |
| IoT BU                          | 83.4  | 88.5  | 71.2  | 71.7  | 87.7  | 82.2   | 73.9  | 60.9  | 57.1  | 52.9   | 52.1  | 44.8  | 48.4  | 31.7  | 24.1  | 19.0  | 21.0  | 18.7  | 17.4  | 14.8  | 93.4  | 77.4  | 73.9  | 51.3  | 27.3   | 17.7   |
| Standard DRAM                   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0    | 0.0   | 0.0   | 0.0   | 0.0    | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0    | 0.0    |
| AI BU (VHM)                     | 11.2  | 5.7   | 25.4  | 19.9  | 5.5   | 4.9    | 5.1   | 9.3   | 4.8   | 4.4    | 4.2   | 6.7   | 3.2   | 2.4   | 1.9   | 1.6   | 2.1   | 1.9   | 2.0   | 2.5   | 5.8   | 16.8  | 6.5   | 5.1   | 2.1    | 2.1    |
| Interposer                      | 5.3   | 5.8   | 3.5   | 8.4   | 6.8   | 12.9   | 21.0  | 29.9  | 38.1  | 42.3   | 41.7  | 44.8  | 40.3  | 26.4  | 27.8  | 23.8  | 24.5  | 24.9  | 26.8  | 27.2  | 0.9   | 5.8   | 19.6  | 41.9  | 27.8   | 26.0   |
| IPD (Silicon capacitor)         | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0    | 0.0   | 0.0   | 0.0   | 0.4    | 2.1   | 3.7   | 8.1   | 39.6  | 46.3  | 55.6  | 52.4  | 54.5  | 53.7  | 55.6  | 0.0   | 0.0   | 0.0   | 1.7   | 42.8   | 54.2   |
| <b>GP mix (%)</b>               |       |       |       |       |       |        |       |       |       |        |       |       |       |       |       |       |       |       |       |       |       |       |       |       |        |        |
| IoT BU                          | 87.1  | 93.3  | 68.7  | 70.0  | 84.7  | 82.9   | 69.9  | 56.3  | 58.7  | 54.0   | 53.6  | 46.1  | 52.4  | 37.8  | 28.0  | 21.1  | 23.2  | 20.7  | 19.4  | 16.5  | 93.0  | 77.6  | 70.4  | 52.7  | 31.0   | 19.6   |
| Standard DRAM                   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0    | 0.0   | 0.0   | 0.0   | 0.0    | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0    | 0.0    |
| AI BU (VHM)                     | 12.9  | 6.7   | 27.3  | 20.5  | 6.5   | 6.4    | 7.3   | 18.6  | 6.7   | 6.3    | 6.1   | 9.8   | 4.9   | 4.0   | 2.8   | 2.3   | 3.0   | 2.7   | 2.9   | 3.6   | 7.0   | 18.3  | 11.0  | 7.3   | 3.2    | 3.1    |
| Interposer                      | 0.0   | 0.0   | 4.0   | 9.5   | 8.7   | 10.7   | 22.8  | 25.2  | 34.6  | 39.4   | 39.2  | 42.1  | 38.0  | 27.4  | 28.1  | 23.0  | 23.5  | 24.0  | 25.9  | 26.3  | 0.0   | 4.1   | 18.6  | 39.0  | 27.6   | 25.1   |
| IPD (Silicon capacitor)         | 0.0   | 0.0   | 0.0   | 0.0   | 0.0   | 0.0    | 0.0   | 0.0   | 0.0   | 0.2    | 1.2   | 2.1   | 4.7   | 30.8  | 41.0  | 53.6  | 50.3  | 52.6  | 51.8  | 53.7  | 0.0   | 0.0   | 0.0   | 0.9   | 38.2   | 52.2   |

Source: Company data, J.P. Morgan estimates.

## Investment Thesis, Valuation and Risks

### **AP Memory Technology Corp** (*Overweight; Price Target: NT\$1,350.00*)

#### **Investment Thesis**

We remain constructive on APM's mid- to long-term growth, with solid progress in project/customer wins for the IPD (capacitor embedded in substrate), AI/HPC, interposer and IoT BUs and more contribution from projects entering mass production within the next two to three years. Stay OW.

#### **Valuation**

Our Dec-27 PT of NT\$1,350 is based on a 30x 2028E P/E, in line with the stock's historical average P/E.

#### **Risks to Rating and Price Target**

Downside risks include: a ban on its interposer customers (mainly China customers now); delays in AI BU projects, given design changes or bottlenecks; weak IoT demand; rising competition; and a prolonged macro impact.

## AP Memory Technology Corp: Summary of Financials

| Income Statement             |         |          |          |          |          | Cash Flow Statement                 |           |         |         |         |         |
|------------------------------|---------|----------|----------|----------|----------|-------------------------------------|-----------|---------|---------|---------|---------|
|                              | FY24A   | FY25A    | FY26E    | FY27E    | FY28E    |                                     | FY24A     | FY25A   | FY26E   | FY27E   | FY28E   |
| Revenue                      | 4,192   | 5,666    | 9,544    | 17,970   | 27,690   | Cash flow from operating activities | 1,386     | 2,461   | 3,179   | 3,717   | 7,425   |
| COGS                         | (1,956) | (2,939)  | (5,135)  | (10,607) | (16,086) | o/w Depreciation & amortization     | 90        | 94      | 103     | 104     | 116     |
| Gross profit                 | 2,146   | 2,634    | 4,305    | 7,260    | 11,488   | o/w Changes in working capital      | (245)     | 1,148   | 621     | (671)   | 29      |
| SG&A                         | (302)   | (355)    | (470)    | (595)    | (800)    | Cash flow from investing activities | (152)     | 366     | (67)    | (38)    | (39)    |
| Adj. EBITDA                  | 1,153   | 1,493    | 2,727    | 5,098    | 8,728    | o/w Capital expenditure             | (43)      | (46)    | (55)    | (40)    | (40)    |
| D&A                          | (90)    | (94)     | (103)    | (104)    | (116)    | as % of sales                       | 1.0%      | 0.8%    | 0.6%    | 0.2%    | 0.1%    |
| Adj. EBIT                    | 1,063   | 1,399    | 2,624    | 4,994    | 8,612    | Cash flow from financing activities | (1,160)   | (748)   | (2,216) | (2,142) | (3,940) |
| Net Interest                 | 407     | 346      | 343      | 348      | 419      | o/w Dividends paid                  | (1,135)   | (1,137) | (1,140) | (2,267) | (3,931) |
| Adj. PBT                     | 2,033   | 1,518    | 3,164    | 5,522    | 9,308    | o/w Shares issued/(repurchased)     | 0         | 0       | 0       | 0       | 0       |
| Tax                          | (455)   | (279)    | (633)    | (1,104)  | (1,862)  | o/w Net debt issued/(repaid)        | (200)     | 100     | (150)   | 0       | 0       |
| Minority Interest            | 0       | 18       | (30)     | (79)     | (107)    | Net change in cash                  | 74        | 2,078   | 896     | 1,537   | 3,446   |
| Adj. Net Income              | 1,578   | 1,258    | 2,501    | 4,338    | 7,339    | Adj. Free cash flow to firm         | 1,343     | 2,415   | 3,124   | 3,677   | 7,385   |
| Reported EPS                 | 9.73    | 7.74     | 15.36    | 26.64    | 45.07    | y/y Growth                          | (41.7%)   | 79.8%   | 29.4%   | 17.7%   | 100.8%  |
| Adj. EPS                     | 9.73    | 7.74     | 15.36    | 26.64    | 45.07    |                                     |           |         |         |         |         |
| DPS                          | 7.01    | 7.01     | 13.92    | 24.14    | 40.84    |                                     |           |         |         |         |         |
| Payout ratio                 | 72.1%   | 90.6%    | 90.6%    | 90.6%    | 90.6%    |                                     |           |         |         |         |         |
| Shares outstanding           | 162     | 163      | 163      | 163      | 163      |                                     |           |         |         |         |         |
| Balance Sheet                |         |          |          |          |          | Ratio Analysis                      |           |         |         |         |         |
|                              | FY24A   | FY25A    | FY26E    | FY27E    | FY28E    |                                     | FY24A     | FY25A   | FY26E   | FY27E   | FY28E   |
| Cash and cash equivalents    | 8,941   | 11,019   | 11,915   | 13,452   | 16,898   | Gross margin                        | 51.2%     | 46.5%   | 45.1%   | 40.4%   | 41.5%   |
| Accounts receivable          | 518     | 588      | 1,028    | 2,416    | 3,107    | EBITDA margin                       | 27.5%     | 26.4%   | 28.6%   | 28.4%   | 31.5%   |
| Inventories                  | 1,203   | 1,145    | 1,561    | 3,884    | 5,000    | EBIT margin                         | 25.4%     | 24.7%   | 27.5%   | 27.8%   | 31.1%   |
| Other current assets         | 125     | 187      | 254      | 597      | 767      | Net profit margin                   | 37.6%     | 22.2%   | 26.2%   | 24.1%   | 26.5%   |
| Current assets               | 10,787  | 12,939   | 14,757   | 20,349   | 25,773   | ROE                                 | 13.6%     | 10.4%   | 20.0%   | 31.6%   | 44.6%   |
| PP&E                         | 66      | 57       | 56       | 45       | 29       | ROA                                 | 12.4%     | 9.1%    | 16.0%   | 22.4%   | 29.5%   |
| LT investments               | -       | -        | -        | -        | -        | ROCE                                | 7.0%      | 9.3%    | 16.6%   | 29.0%   | 41.7%   |
| Other non current assets     | 2,156   | 1,744    | 1,756    | 1,754    | 1,753    | SG&A/Sales                          | 7.2%      | 6.3%    | 4.9%    | 3.3%    | 2.9%    |
| Total assets                 | 13,008  | 14,740   | 16,569   | 22,148   | 27,554   | Net debt/Equity                     | NM        | NM      | NM      | NM      | NM      |
| Short term borrowings        | 100     | 200      | 50       | 50       | 50       | Net debt/EBITDA                     | NM        | NM      | NM      | NM      | NM      |
| Payables                     | 231     | 505      | 568      | 1,415    | 1,821    | Sales/Assets (x)                    | 0.3       | 0.4     | 0.6     | 0.9     | 1.1     |
| Other short term liabilities | 634     | 1,582    | 3,063    | 5,600    | 7,200    | Assets/Equity (x)                   | 1.1       | 1.1     | 1.2     | 1.4     | 1.5     |
| Current liabilities          | 965     | 2,288    | 3,681    | 7,065    | 9,071    | Interest cover (x)                  | NM        | NM      | NM      | NM      | NM      |
| Long-term debt               | 0       | 0        | 0        | 0        | 0        | Operating leverage                  | (3019.0%) | 89.9%   | 127.9%  | 102.4%  | 133.9%  |
| Other long term liabilities  | 136     | 89       | 193      | 317      | 309      | Tax rate                            | 22.4%     | 18.3%   | 20.0%   | 20.0%   | 20.0%   |
| Total liabilities            | 1,101   | 2,376    | 3,874    | 7,382    | 9,380    | Revenue y/y Growth                  | (0.8%)    | 35.2%   | 68.4%   | 88.3%   | 54.1%   |
| Shareholders' equity         | 11,907  | 12,364   | 12,695   | 14,766   | 18,174   | EBITDA y/y Growth                   | 23.5%     | 29.5%   | 82.6%   | 87.0%   | 71.2%   |
| Minority interests           | -       | -        | -        | -        | -        | EPS y/y Growth                      | 9.0%      | (20.5%) | 98.5%   | 73.4%   | 69.2%   |
| Total liabilities & equity   | 13,008  | 14,740   | 16,569   | 22,148   | 27,554   |                                     |           |         |         |         |         |
| BVPS                         | 73.31   | 75.97    | 77.95    | 90.68    | 111.60   |                                     |           |         |         |         |         |
| y/y Growth                   | 5.1%    | 3.6%     | 2.6%     | 16.3%    | 23.1%    |                                     |           |         |         |         |         |
| Net debt/(cash)              | (8,841) | (10,819) | (11,865) | (13,402) | (16,848) |                                     |           |         |         |         |         |
| Valuation                    |         |          |          |          |          |                                     | FY24A     | FY25A   | FY26E   | FY27E   | FY28E   |
|                              |         |          |          |          |          | P/E (x)                             | 92.0      | 115.7   | 58.3    | 33.6    | 19.9    |
|                              |         |          |          |          |          | P/BV (x)                            | 12.2      | 11.8    | 11.5    | 9.9     | 8.0     |
|                              |         |          |          |          |          | EV/EBITDA (x)                       | 35.7      | 25.3    | 13.6    | 6.9     | 3.6     |
|                              |         |          |          |          |          | Dividend Yield                      | 0.8%      | 0.8%    | 1.6%    | 2.7%    | 4.6%    |

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which



**Companies Discussed in This Report** (all prices in this report as of market close on 07 July 2026, unless otherwise indicated)  
UMC(2303.TW/NT\$155.00/N)

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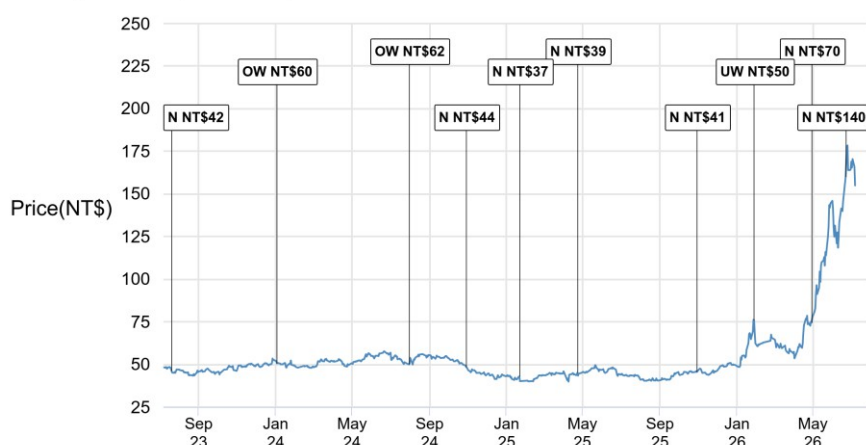
AP Memory Technology Corp (6531.TW, 6531 TT) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.  
Initiated coverage May 25, 2021. All share prices are as of market close on the previous business day.



UMC (2303.TW, 2303 TT) Price Chart



| Date      | Rating | Price (NT\$) | Price Target (NT\$) |
|-----------|--------|--------------|---------------------|
| 21-Jul-23 | N      | 46.10        | 42                  |
| 04-Jan-24 | OW     | 50.60        | 60                  |
| 31-Jul-24 | OW     | 50.00        | 62                  |
| 30-Oct-24 | N      | 48.40        | 44                  |
| 22-Jan-25 | N      | 42.95        | 37                  |
| 24-Apr-25 | N      | 45.10        | 39                  |
| 30-Oct-25 | N      | 45.60        | 41                  |
| 29-Jan-26 | UW     | 75.90        | 50                  |
| 30-Apr-26 | N      | 74.50        | 70                  |
| 23-Jun-26 | N      | 160.00       | 140                 |

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.  
Initiated coverage Apr 29, 2002. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.  
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**Coverage Universe: Yang, William :** AAC Technologies Holdings (2018) (2018.HK), AP Memory Technology Corp (6531.TW), ASMedia Technology Inc. (5269.TW), Advanced Energy Solution Holding (6781.TW), Advantech (2395.TW), Andes Technology Corp (6533.TW), Asia Vital Components (3017.TW), Auras Technology (3324.TW), Fositek (6805.TW), Genius Electronic Optical Co., Ltd (3406.TW), Innostar Service (7828.TWO), Jentech Precision Industrial Co. (3653.TW), Kinik (1560.TW), Largan Precision Co Ltd (3008.TW), Parade Technologies (4966.TWO), Realtek Semiconductor (2379.TW), Shin Zu Shing (3376.TW), Silergy Corp (6415.TW), Simplo Technology Co Ltd (6121.TWO), Speed Tech Corp (5457.TWO), Sunny Optical Technology Group Co. (2382) (2382.HK)

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